

Employing in Bahrain

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts registered with the LMRA
- **Monthly payroll** — salary payments in BHD via the Wage Protection System
- **No income tax** — Bahrain levies no personal income tax on employment income
- **SIO contributions** — social insurance and the new monthly end-of-service benefit fund
- **Leave and termination management** — notice periods and entitlements guidance

Employment Conditions

Contracts & Probation

Bahrain has no statutory private-sector minimum wage. Since March 2024, expatriate end-of-service benefits moved from an employer lump-sum model to monthly contributions into a fund administered by the Social Insurance Organization (SIO) — a structural change most other GCC states have not adopted.

Item	Detail	Legal Basis
Probation period	Maximum 3 months	Labour Law for the Private Sector
SIO registration	Within 30 days of the employee's start date	Social Insurance Law (Decree-Law No. 24 of 1976)
Enhanced WPS (2026)	Requires a registered Wage Responsible Person and monthly LMRA pre-validation of salary files	2026 WPS enhancement, effective February 2026

Statutory Contributions (2026)

Employee Type	Employer Rate	Notes
Bahraini nationals (SIO)	18% of insurable salary (2026), rising 1%/year to 20% by 2028	Employee share remains a flat 8% (7% pension + 1% unemployment)
Non-GCC expatriates (work injury only)	3% of wage	Employee adds 1%; no pension or unemployment contribution for expatriates
Expatriate end-of-service benefit (new scheme, since Mar 2024)	4.2%/month for the first 3 years, 8.4%/month beyond 3 years	Paid monthly to the SIO fund rather than as an employer lump sum at termination

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	30 days/year	Employer	Labour Law for the Private Sector minimum
Sick Leave	Up to 55 days/year on a sliding pay scale (full pay first 15 days, reducing thereafter)	Employer	Requires a medical certificate
Maternity Leave	60 days full pay + 15 days unpaid (optional)	Employer	Job-protected

★ HERO TIP

Bahrain's new expatriate end-of-service benefit scheme (effective March 2024) applies retroactively to existing employees — anyone with 3+ years of service on 1 March 2024 moved immediately to the higher 8.4% monthly contribution rate. Under this system, the employee claims their accrued benefit directly from the SIO on exit, rather than receiving a lump sum from the employer — confirm your Bahrain payroll reflects the monthly contribution model rather than an old-style lump-sum accrual.

Payroll, Tax & Contributions

Total Cost Example (Expatriate Employee) — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
SIO work injury (employer, 3%)	\$90.00	3.00%
End-of-service benefit contribution (illustrative, 4.2%, first 3 years)	\$126.00	4.20%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,816.00	~127.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Expatriate employees have no personal income tax; SIO for expatriates is limited to work injury and the end-of-service benefit contribution — there is no pension or unemployment deduction for this group.

Termination & Separation

Notice periods are typically set by contract, with statutory minimums under the Labour Law where the contract is silent. For expatriates, the end-of-service benefit accrues monthly to the SIO fund and is claimed directly by the employee upon exit, rather than paid by the employer as a lump sum.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
~March/April	Eid al-Fitr (multi-day)	National (Islamic calendar)
1 May	Labour Day	National
~May/June	Eid al-Adha (multi-day)	National (Islamic calendar)
~June/July	Islamic New Year	National (Islamic calendar)
~September	Ashura (2 days)	National (Islamic calendar)
16 December	National Day	National
17 December	Bahrain National Day (Accession)	National

Islamic calendar holidays shift roughly 10-11 days earlier each Gregorian year and are confirmed by the Bahraini government closer to the date.

Ready to hire in Bahrain?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Bahrain employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).